

3. Credits that may be partially offset against bond interest (in order of dependability).
  - a. Bond interest received; rent for leased lines; joint-facility rents (net credit).
  - b. Hire of equipment (net credit); dividends received.
  - c. Miscellaneous nonoperating income.

**Methods of Computing Fixed-Charge Coverage.** Considerable argument might be indulged in as to the most scientific way of handling all these items in order to arrive at the best formulation of the fixed charges. The matter may be simplified, however, by bearing in mind that the bond buyer is not interested in exactitude, but rather in reasonable accuracy. After all, the data he is dealing with represent past history, the sole value of which is to serve as a hint or clue to the future. For such a purpose refinement of calculation is of little benefit. We suggest that for railroad bonds the necessities of the case with respect to interest coverage may be met by setting up a double test, and requiring that the minimum margin be shown by each. The method proposed is as follows:

*Test A.* Number of times fixed charges are earned:

Fixed charges = gross income — net income.

$$\text{Times fixed charges earned} = \frac{\text{gross income}}{\text{gross income} - \text{net income}}$$

NOTE: "Gross income" is the "net after rents" plus "other income." "Net income" is the balance available for dividends.<sup>3</sup>

*Test B.* Number of times net deductions are earned:

Net deductions = railway operating income — net income.

$$\text{Times net deductions earned} = \frac{\text{railway operating income}}{\text{railway operating income} - \text{net income}}$$

NOTE: "Railway operating income" is the same as a "net after taxes," *i.e.*, the gross revenues minus operating expenses and taxes.

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<sup>3</sup> The figure for fixed charges as computed by Standard Statistics Company excludes some of the minor items, which are subtracted from gross income first, under the caption of "miscellaneous deductions." Our method is simpler, but the Standard Statistics calculation will give almost the same result, so that if their results are available they may as well be used.